

stand that, and you will understand why *The Elliott Wave Theorist* was bullish in the late 1970s and early 1980s and today believes that the best of the advance is behind us, that a major top in stocks and mood-induced economic and political conditions is in evidence, and that what will be viewed retrospectively as a golden age consisting of fifty years of peace and prosperity is reaching a point of culmination. As noted on the graph in Figure 12-1, the stock market is at the opposite sociological juncture from that of the 1930s and 1940s. Social conditions inspire no fear. For that very reason, the public mood is poised to reverse, and the market is ready to decline.

Markets and Social Liberalism

Countless books today reflect optimism toward the long term trends for markets, the global economy, technology and everything else. “Futurists” of all stripes project today’s trends decades ahead, unconcerned with possible interruption and convinced that any setbacks will be so minor as to be unnoticeable. Linear extrapolation is not confined to the professions of economics and market analysis, either, but permeates the social sciences. For example, a scholarly book published in 1992 entitled *The End of History and the Last Man* has been called “must reading” among intellectuals. It presents an argument in favor of, as one reviewer described it, “profound optimism” toward the future. I have no quarrel with any particular author, as all such books present classic cases of identifying a trend when it is nearly over and then projecting it into the future. However, the theme of this book is particularly instructive because it deals with long term history, which is so exquisitely the province of the Wave Principle. The author argues that the inexorable trend of history is toward worldwide liberal democracy. As evidence, he presents the increasing number of such democracies worldwide since 1790 (see Figure 12-2), when only three existed: the U.S., France and Switzerland (prior to 1780, Switzerland was the only one). The author does the same thing that most sociologists and financial analysts do: he extrapolates prior trends linearly into the future. Five years ago, had another historian listed the increasing number of people subjugated by Communist regimes since 1917, he might have projected worldwide takeover by Communists, when in fact the trend reversed in a crash. The numbers this author presents showing the rise of liberal democracy simply reflect the trend of the stock market, i.e., of positive social mood, from its Grand Supercycle degree